



WARNING

Referred to as financial weapons of mass destruction, derivatives can be volatile. Relying on debt leverage, they use complex mathematical models and not all traders clearly understand the risks they are taking. They can suffer large and catastrophic losses as a result.

\$6.2 billion
was lost on derivative trading
by JP Morgan Chase & Co.

Derivatives for speculation

Investors may buy or sell an asset in the hope of generating a profit from the asset's price fluctuations. Usually this is done on a short-term basis in assets that are liquid (easily traded).

AIRLINE COMPANY

Options to buy

Available for limited time period: \$.50 option on \$5 share price.

AIRLINE COMPANY

Options to buy

Expired

SMALL LOSS

An investor notices a company's share price going up and buys an option on the shares—a right to buy shares at a future date.

If share prices do rise, the investor can profit by buying at the fixed option price and selling at the current higher price.

If share prices fall, the investor can sell the option or let it lapse, losing a fraction of the value of the asset itself.